Accounts Payable Policy

Document	POL-AP-001
Version	v2.0
Effective from	1 April 2025
Owner	Vikram Nair (financial controller)
Approved by	Finance director
Status	Approved

1. Purpose

This policy sets the rules Northbridge Cycles Pvt. Ltd. follows from the moment a supplier invoice arrives until it is paid and confirmed by the bank. Northbridge Cycles Pvt. Ltd. makes bicycles and e-bikes in Pune, Maharashtra; GSTIN 27AAACN2604B1Z9. The policy applies to every invoice entered in Ledgerline, whether it is drafted by a person or by Ask Northbridge.

2. Roles

Priya Shah (accounts payable) enters and approves invoices. Emma Clarke (purchasing) deals with suppliers. Daniel Okafor (purchase manager) owns prices. Ganesh Pawar (stores) owns quantities received. Vikram Nair (financial controller) owns this policy. Meera Kulkarni (tax manager) owns GST and TDS. Henrik Weber (cost-centre owner) approves invoices without a purchase order on his cost centre. The Treasury desk and the Insurance desk are roles, not named people.

3. Holds

Ledgerline matches every invoice with its purchase order and goods receipt before it can be posted. An invoice that fails a check is placed on hold and cannot be paid until the hold is released.

3.1 Price tolerance

An invoice whose unit price is more than 3% above the purchase order price goes on price hold H-PRC. The tolerance is checked line by line, not on the invoice total.

3.2 Quantity

An invoice whose billed quantity is more than the accepted quantity goes on quantity hold H-QTY. Accepted quantity is the quantity on the goods receipt after damaged and defective goods are taken out.

3.3 Duplicates

The same supplier GSTIN and invoice number in the same financial year is blocked as a duplicate. Two different suppliers may use the same invoice number; the supplier must always be confirmed first.

4. Releasing holds and approving invoices

4.1 Who releases a hold

A price hold is released by the purchase manager (Daniel Okafor) or the financial controller. A quantity hold is released by stores (Ganesh Pawar) or the financial controller. Accounts payable never releases a hold it has raised.

4.2 Invoices without a purchase order

An invoice without a purchase order is approved by the cost-centre owner, never by the person who entered it.

5. The assistant

5.1 Drafts from the assistant

Every entry drafted by Ask Northbridge must be approved or amended within 48 hours; otherwise it is escalated to the financial controller. The assistant never posts, releases or pays on its own.

6. Records

Ledgerline keeps the invoice, the match result, every hold and its release, and the name of each approver. Accounts payable keeps the supplier's PDF and the goods receipt with the invoice.

7. Revision history

Version	Effective from	Change
v2.0	1 April 2025	First version for Ledgerline